

Building a Consumer-Centric Route-to-Market in West Africa

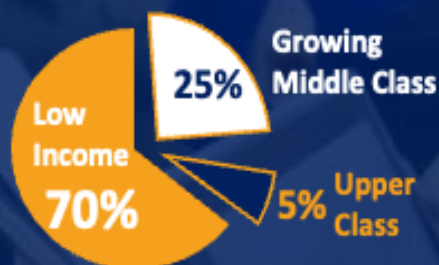
Harnessing Insights and Technology for success.



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The West African Opportunity



High-density urban hubs: Megacities like **Lagos** (Nigeria), **Accra** (Ghana), **Abidjan** (Côte d'Ivoire) account for **~30%** of regional FMCG demand.

Market Characteristics Before 2000



Limited Presence of Modern Retail



Large-format / Bulk packaging



Cash-Based Transactions



Government Influence and Challenges



Dominance of Informal Distribution Channels



Dependence on Foreign Trading Companies



Fragmented Supply Chains



Huge Rural and Urban Divide

The Disruption (2000 - 2025)



Rise of Modern Trade & Formal Retail



Expansion of Distribution Networks



Last-Mile Innovation & Logistics Tech



Pocket Friendly Packs



Fintech & Mobile Payments



Shift in Consumer Preferences



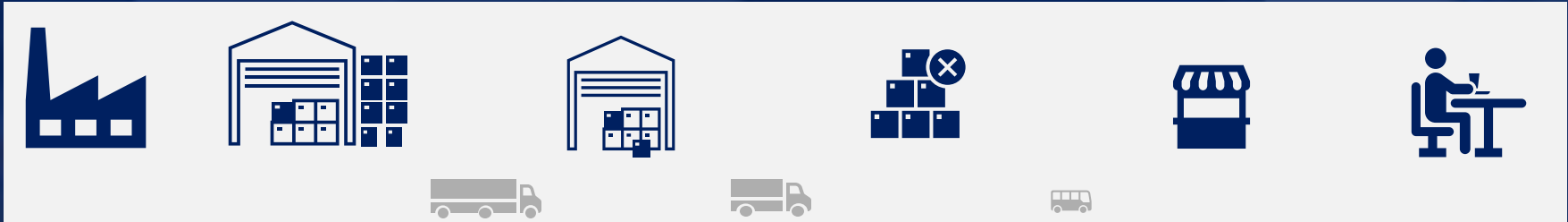
Digital & E-Commerce Disruption



Govt Influence and the ECOWAS free trade Agreement

How Markets is Changing

Traditional RTM



Factory Depot Warehouse Distributor Semi Wholesaler Retailer Consumer

Hierarchical & Multi-Layered Structure with high dependence on human relations, logistics challenge and potential inefficient stock management.

Guarantees Geographical and channel specialisation, wider reach, flexibility for retail universe. Great for serving rural communities

Modern RTM



Modern Trade

SHOPRITE
bokku!

SPAR



Redistribution Companies

OmniHub
Trade Depot



E-Commerce

JUMIA
konga.com

Shortened Supply chain (D2C), Technology driven, organized retail (aisles and payment tills), Fintech friendly and Data driven Marketing. Faster time to market, low cost to serve, enhanced brand control.

High Tech investment, urban biased with high regulatory hurdles.

The **modern RTM** is **faster, tech-driven, and consumer-centric**, but **traditional distribution still dominates rural and informal markets**. Companies must **blend both models** for full regional coverage.

The Evolution of Route-to-Market in West Africa



Traditional Trade (Informal markets, kiosks, mom-and-pop stores)

90% of total FMCG sales - still dominant due to fragmented retail, cash-based transactions, and strong local trade networks.



Modern Trade (Supermarkets, hypermarkets, chain stores)

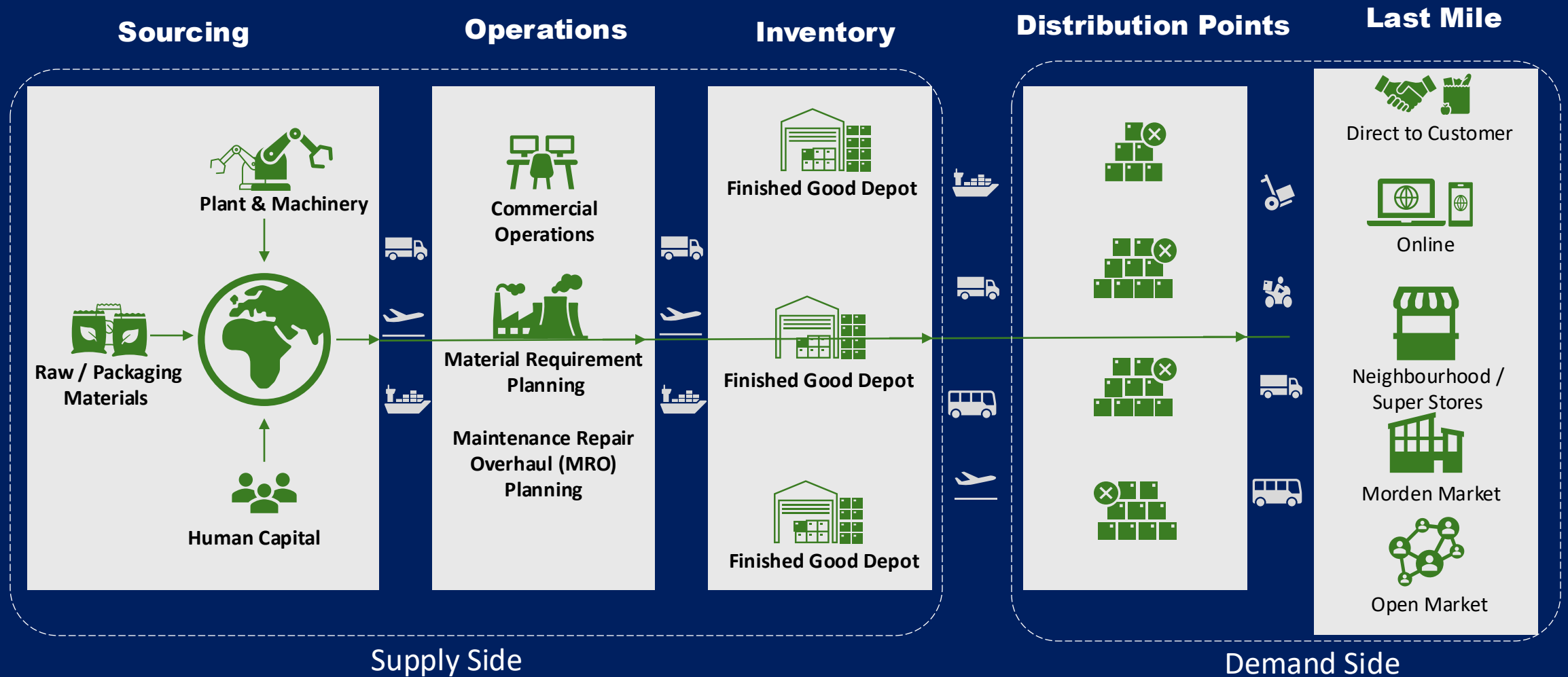
5-7% (growing in urban areas like Lagos, Accra, Abidjan). Growth driven by **Shoprite, SPAR, Carrefour**, and local chains. Expanding at **~8-12% CAGR**.



E-Commerce & Last-Mile Delivery

3-5% (but surging at **25%+ CAGR**, Statista). Key players: **Jumia, Glovo, TradeDepot, Omnibiz, Wasoko (B2B focus)**. Quick commerce (15-30 min delivery) is emerging in major cities.

Modern RTM At A Glance



What Questions did Technology Answer

Supply Side



Demand Side

- Where are the goods ?
- What is the current status of the package ?
- How long would it take before it is delivered
- What is the stock level of a Product /SKU ?
- How do we reduce waste
- How reliable are the plants equipment's ?
- How do we get Authorisation / Approvals?

- Where would the goods be tomorrow?
- What would be the demand for our product tomorrow?
- How do our customer buy and experience our product?
- How do we achieve 99.9% Quality and Uptime ?
- How is our effort Affecting the Environment
- How do we respond to disruption ?

Data isn't just numbers—it's the voice of the consumer.

Changing Consumer Behaviors

Hyper-localized insights is driving RTM success.

Rise of the Value-Conscious Consumer

Inflation-driven, **60% prioritize price over brand** – Kantar 2023.

Digital Influence

35% of Nigerians now discover brands via social commerce - (GSMA).

Sustainability Matters

Younger consumers prefer brands with eco-friendly packaging.

The Policy Imperative

How Policymakers Can Accelerate Access



Road Infrastructure

Poor roads add **30% to logistics costs**. (World Bank).



Tax Incentives

Infrastructure Investment: Tax Incentives: Encourage FDI in last-mile logistics (e.g., Ghana / Lagos's Free Zones).



Digital Inclusion

Expand broadband to rural areas (Nigeria's **National Broadband Plan**).



Seed Investment

Seed funding would strengthen distribution networks as a backbone of economic growth.

"No RTM strategy thrives in a policy vacuum. Governments must play a role."

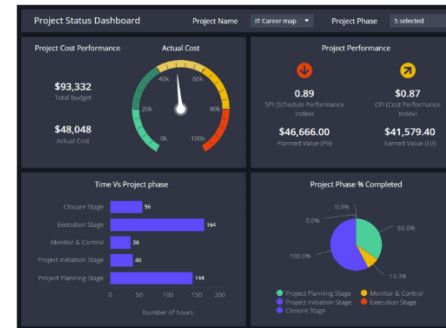
What Questions would Technology Answer?



Demand and Predictive Analytics



IoT & Smart Logistics for Real-Time Tracking



Real - Time Visibility with Blockchain



Last Mile Ordering and Delivery Tech



Digitizing Ordering & B2B Trade



Logistic Cost Optimisation



Predictive Product Research



Top Tech Priority for CPG industry



**Demand
Forecasting**



**Pricing
Optimisation**



**Market
Segmentation
and Targeting**



**Predictive
Product
Research**



**Supply Chain
Optimisation**

An aerial photograph of a crowded beach, showing a dense field of colorful umbrellas in various colors like blue, yellow, red, and green. The image is overlaid with a semi-transparent dark blue filter.

The Questions:

**How do businesses and industry
leaders get on the RTM Technology
Transformation journey?**

How do leaders get on the RTM Technology Transformation journey?

Accept and Agree that change is inevitable

Develop a strategic approach that is peculiar to your sector and market

Build the right team of Internal champions, Experts and Partners

Identify your technology and capability gaps and make the necessary investments.

Set a realistic timeline and phase the journey



Conclusion

The Consumer-Centric Future

Four Action Steps:

Invest in last-mile Tech.

Engage policymakers proactively.

Let consumer behaviour guide your strategy.

Invest in data and let it drive your decisions

"The opportunity is here. The question is—will you lead the change?"

Thank You



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